Hikal Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: HIKAL · BSE: 524735 · Report prepared 11 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1. Snapshot

What the business does: Hikal makes drug ingredients and crop-chemical ingredients, both for its own catalogue and on contract for big global companies (CDMO work, contract development and manufacturing). Pharma is about two-thirds of sales: APIs (the active ingredient in a pill) such as gabapentin, plus contract work for innovator drug makers. Crop protection is the other third, making active ingredients for global agrochemical majors. Two small new lines are being built: animal health ingredients and personal care (UV filters for sunscreens and skin care). Its main pharma plant in Bangalore has been under a US FDA warning letter since August 2025.

Measure	Value	What it means in plain words
Market cap	₹2,775 cr	What the market values the whole company at, ₹225 a share.
Q2 FY27 revenue	₹434 cr	Sales in the September quarter, up 36% on a very weak quarter a year ago (when FDA trouble hit).
Q2 FY27 operating margin	10.3%	About 10 paise of operating profit (EBITDA) per rupee of sales. In good years Hikal made 17-19%.
Q2 FY27 profit	–₹6 cr	Still a small loss after interest and depreciation. Five of the last six quarters were losses.
FY26 revenue	₹1,713 cr	Down 8% on FY25; the year ended in a ₹49 cr loss.
Borrowings (Sep 26)	₹639 cr	Debt, falling steadily from ₹818 cr in March 2024. Debt is about half of shareholders' money.
Free cash flow FY26	₹144 cr	Cash left after spending on plants. Positive, and it's paying down debt.
Promoter holding	68.9%	Unchanged for years. The Hiremath family runs it.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY24 → Q2 FY26 (9 calls)	Nov 2023 to Nov 2025	Yes, skimmed for promises and guidance
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	6 Aug 2026	Yes, read in full
Q2 FY27	3 Nov 2026	Yes, latest call, read in full ★

About three years of calls. The record splits in two: before the FDA problem (early 2025) and after it.

★ Latest concall highlights - Q2 FY27 (call held 3 Nov 2026)

- **Better, not fixed.** Revenue ₹434 cr and margin 10.3%, both up on last year's bad quarter, but still a small loss. Pharma made a 4.6% EBIT margin; crop protection lost money as raw material and solvent costs more than doubled and Chinese prices stayed low.
- **New crop contract.** A multi-year contract with a European agrochemical company for a niche ingredient, worked on for three years. Launch at the end of FY27, peak sales of ₹50-75 cr a year by about 2029, at margins above the company average.
- **FDA re-inspection hoped for by end FY27.** Swiss regulator Swissmedic gave the Bangalore plant a clean certificate, and 28 customer audits passed. Clearing the FDA should add about ₹150 cr of yearly sales plus held-up contract approvals.
- **Guidance held:** FY27 revenue up about 14-16% and operating profit up 25-30%, with the second half "significantly better". Personal care production has started at Panoli.
- **New title at the top.** Sameer Hiremath now runs the company as Chairman and Managing Director (he was Vice Chairman and MD).

Business mix & capacity. Domestic vs export: not broken out on the calls. Most pharma and contract work goes to regulated markets (US, Europe, Japan); crop's own products have growing Indian sales. **Pharma plants:** running at 60-70% in Q2 FY27, held down on purpose to meet stricter quality checks under the FDA remediation. Plain read: there's room to make a lot more once the FDA is satisfied. **Crop:** utilisation has been low for two years; management wants to fill it with contract work. **Panoli:** part of an old crop plant has been converted to personal care; the second phase, for human and animal health contracts, is due by end of next year.

★ 3. Earning-trigger thesis

Hikal's case is a recovery story with a date attached. The Bangalore pharma plant is working under a warning letter, slowed down on purpose, and paying about ₹20 cr a year in fix-up costs. If the FDA re-inspects and clears it, management expects about ₹150 cr more sales a year at high contribution, held-up contract approvals to convert, and margins back to the old 17-19%. On top sit smaller new legs: the European crop contract, animal health (aiming for ₹400 cr by FY30) and personal care. None of it shows in profits yet. The FDA date has already slipped twice, and crop is fighting high input costs and cheap Chinese supply.

Trigger	What management said	Evidence so far	Horizon	Strength
FDA clearance at Bangalore	Re-inspection "towards the end of this current financial year"; +₹150 cr yearly sales after	Swissmedic, Brazil and Japan approvals; no customer order lost	2 to 6 qtrs	Moderate (date slipped before)
Crop CDMO contract	Launch end FY27; ₹50-75 cr peak by 2029	Signed and announced Nov 2026	1 to 3 yrs	Moderate
Animal health	₹400 cr by FY30; three new ingredients in validation	Growing, still small	2 to 4 yrs	Weak to moderate
Personal care	Production started at Panoli; mostly contract work in four years	Products still in validation, no sales yet	1 to 3 yrs	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt is falling in the numbers, but the call only gave debt-to-equity of 0.52, no repayment plan (3 Nov 2026)
New business	Yes	Personal care: "commencement of the commercial production of our new multipurpose facility at Panoli" (3 Nov 2026)

Margin up	No	Margins hit by raw materials "increasing sharply by over 100%"; recovery promised for H2, not shown
New management	No	Sameer Hiremath moved up to Chairman and MD; same person running it
New capacity	Yes	Panoli pilot plant lifts drug filings to 6-7 a year; personal care line commissioned (6 Aug and 3 Nov 2026)
Big orders	Yes	"Signed a multiyear contract with a European-based global agrochemical company" (3 Nov 2026)
Turnaround	Yes	"Transitioned from a regulatory-led disruption last year to execution-led growth"; FDA re-inspection the next step (6 Aug 2026)
Promoter buying	No	Not mentioned

Single concrete driver: a clean US FDA re-inspection of the Bangalore plant, expected by the end of FY27, which management says adds about ₹150 cr of yearly sales and frees held-up contract approvals.

3c. Margin bridge

Margin is 10.3% now against 2.3% a year ago, when the FDA shutdown hit. The rebound is from volumes coming back. It's still far below the 17-19% of good years because solvents and other inputs more than doubled with the Gulf war, Chinese crop prices stayed low, and the FDA fix-up costs about ₹20 cr a year. Management says most input costs pass to contract customers over the next few quarters and the fix-up cost ends after clearance (one-off).

3d. Management changes

Sameer Hiremath, who has run Hikal as Vice Chairman and MD, now holds the Chairman and Managing Director role. He's from the promoter family and has led every call in this record, so no change in direction was signalled.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2024	No guidance given; crop too uncertain	Honest; crop stayed weak	Delivered
May 2025	FY26 revenue up 12-15%	FY26 revenue fell 8% after the FDA OAI and warning letter	Missed
Aug 2025	OAI could be reversed "in the next few months or maybe early next year"	Warning letter followed; still no re-inspection	Missed
Nov 2025	FDA re-inspection around March-May 2026; 2-3 personal care products sold in H2 FY26	Re-inspection now hoped for by end FY27; personal care only started production in Q2 FY27	Missed
Feb 2026	FY26 pharma up about 10%, crop flat	Fell short; blamed a deliberate production slowdown	Missed
Aug 2026	FY27 revenue up 14-16%, operating profit up 25-30%	H1 revenue up about 20% and operating profit more than doubled on a weak base; H2 has to carry it	On track
All calls	Debt kept in check, capex trimmed	Borrowings down from ₹818 cr to ₹639 cr; capex cut from ₹200 cr to ₹150 cr in FY26	Delivered

Narrative drift. The strategy hasn't changed: more contract work, fewer commodity products, new legs in animal health and personal care. But the dates keep moving. The FDA fix has slipped from "early 2026" to "mid 2026" to "end FY27", and FY26 guidance was missed by a wide gap. Management did refuse to guide for a while when it couldn't see clearly, which is fair. The balance sheet is the one thing they've managed well.

5. Bottom line - two verdicts

Durable earning trigger? → MAYBE

There's a real, named trigger: the FDA clearing Bangalore, with a stated sales gain behind it, plus a fresh crop contract and two new businesses starting. Customers have stayed, and other regulators have signed off. But it's still a loss-making company, the trigger depends on a regulator's timing, and crop is being squeezed. It becomes a Yes once the re-inspection is done and margins climb back toward the old range.

Management consistent? → NO

The story is steady but the delivery isn't. FY26 guidance was missed badly, the FDA timeline has slipped twice, and personal care sales arrived a year late. Part of that is the regulator's clock, not theirs. Still, they kept giving dates and missing them. FY27 guidance is the test: if the second half lands as promised, this improves.

★ 6. Checkpoints for next quarter

- December quarter revenue and margin clearly beat the first half, as guided
- US FDA re-inspection of Bangalore is scheduled or held
- First personal care sales are booked

Sources: Hikal earnings call transcripts Nov 2023 to Nov 2026 (latest 3 Nov 2026, filed 5 Nov 2026), sourced from Screener.in; Screener.in financials and shareholding.